Worksheet: Supply and Demand

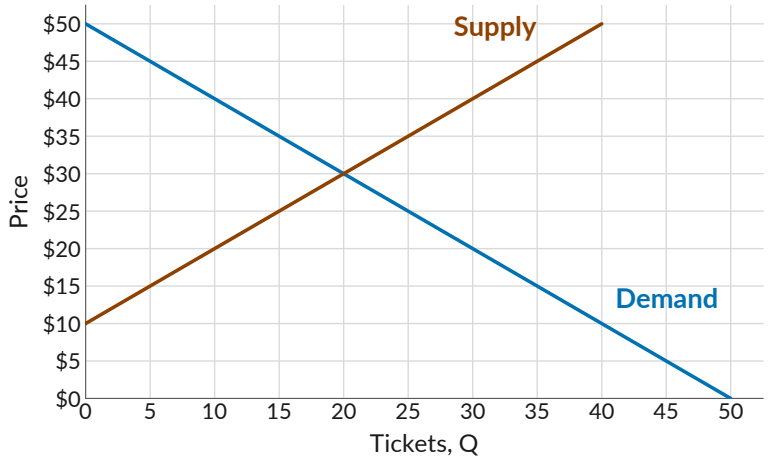
ECON 201

Definitions

- **Demand curve**: how many units buyers want to buy at each price.
- **Supply curve**: how many units sellers want to sell at each price.
- **Market-clearing price**, or equivalently the **equilibrium price**: the price at which the quantity demanded equals the quantity supplied. The quantity traded at that price is the **equilibrium quantity**.
- **Excess demand**: the quantity demanded is greater than the quantity supplied at the current price. **Excess supply**: the quantity supplied is greater than the quantity demanded at the current price.

The homecoming game

Students resell tickets to the homecoming game to each other. The graph shows the demand curve of the students who want a ticket and the supply curve of the students who have one to sell.



1. What is the quantity demanded at a price of $20? What is the quantity supplied?

2. At $20, is there an excess demand or an excess supply? If so, by how much?

3. At $20, would it make sense for some buyers to change what they do? What about sellers? Which way does the price move?

4. What are the equilibrium price and quantity in this market? Mark the point on the graph.

5. Suppose the price were $40 instead. Is there an excess demand or an excess supply, and by how much? Which way does the price move?